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# GOVERNMENT OF INDIA -- COPYRIGHT OFFICE (copyright.gov.in)
# FORM XIV / STATEMENT OF PARTICULARS -- RULE 70(5) OF COPYRIGHT RULES, 2013
# TITLE OF WORK      : JudiQ: Section 138 NI Act Litigation Intelligence Platform
# APPLICANT / AUTHOR: Atharva (Individual / Sole Creator)
# CLASS OF WORK      : Literary Work - Computer Software (Section 2(o), Indian Copyright Act 1957)
# DEPOSIT PORTION    : SECTION A -- FIRST 10 PAGES OF SOURCE CODE
# DESCRIPTION        : Master Section 138 NI Act Cheque Bounce litigation engine,
#                    : statutory notice & limitation timelines, S.139 presumptions,
#                    : S.141 vicarious liability, and S.138 defense rebuttal matrix.
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[SOURCE FILE: backend/cheque_bounce/cheque_bounce_engine.py]
Module: Section 138 NI Act Engine | Path: backend/cheque_bounce/cheque_bounce_engine.py
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0001 """
0002 JudiQ AI -- Master Section 138 NI Act Cheque Bounce Engine
0003 Production-grade Domain Engine for Negotiable Instruments Act (1881) litigation.
0004 Evaluates statutory notices, debt enforceability, S.139/S.118 presumptions,
0005 S.141 director liability, S.142(2) jurisdiction, S.143A interim compensation, S.148
    -> appellate deposits.
0006 """
0007
0008 from typing import Dict, List, Any, Optional
0009 from core.base_domain_engine import BaseDomainEngine
0010 from scoring_engine import ScoringEngineV12
0011 from adversarial_engine import AdversarialEngine
0012 from utils import days_between, parse_date
0013 from cheque_bounce.ni_act_statutory_rules import NIActStatutoryRules
0014 from cheque_bounce.defence_catalogue import Section138DefenceCatalogue
0015
0016 class ChequeBounceEngine(BaseDomainEngine):
0017     """
0018     Production-grade Domain Engine for Section 138 Negotiable Instruments Act (1881)
    -> litigation.
0019     """
0020
0021     @property
0022     def domain_name(self) -> str:
0023         return "cheque_bounce"
0024
0025     def build_procedural_graph(self, case_data: Dict[str, Any]) -> Dict[str, Any]:
0026         """Returns stateful graph of Section 138 NI Act statutory milestones."""
0027         norm = NIActStatutoryRules.normalize_s138_payload(case_data)
0028         cheque_date = norm.get("cheque_date")
0029         presentation_date = norm.get("presentation_date")
0030         dishonour_date = norm.get("dishonour_date")
0031         notice_date = norm.get("notice_date")
0032         complaint_date = norm.get("complaint_date")
0033
0034         # 1. Cheque Presentation Validity (RBI 90 Days)
0035         cheque_defect = None
0036         if cheque_date and presentation_date:
0037             eval_chk = NIActStatutoryRules.evaluate_cheque_validity(cheque_date,
    -> presentation_date)
0038             if not eval_chk["valid"]:
0039                 cheque_defect = eval_chk["defect"]
0040
0041         # 2. Notice Timeline (30 Days)
0042         notice_defect = None
0043         notice_days = case_data.get("notice_days")
0044         if notice_days is not None:
0045             eval_notice = NIActStatutoryRules.evaluate_notice_timeline(notice_days)
0046             if not eval_notice["valid"]:
0047                 notice_defect = eval_notice["defect"]
0048         elif dishonour_date and notice_date:
0049             d = days_between(dishonour_date, notice_date)
0050             if d is not None:
0051                 eval_notice = NIActStatutoryRules.evaluate_notice_timeline(d)
0052                 if not eval_notice["valid"]:
0053                     notice_defect = eval_notice["defect"]
0054
0055         # 3. Complaint Timeline (15 Grace + 30 Filing)
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0056         complaint_defect = None
0057         days_post_notice = case_data.get("days_post_notice")
0058         if days_post_notice is not None:
0059             eval_complaint = NIActStatutoryRules.evaluate_complaint_timeline(
-> days_post_notice)
0060             if not eval_complaint["valid"]:
0061                 complaint_defect = eval_complaint["defect"]
0062             elif notice_date and complaint_date:
0063                 d = days_between(notice_date, complaint_date)
0064                 if d is not None:
0065                     eval_complaint = NIActStatutoryRules.evaluate_complaint_timeline(d)
0066                     if not eval_complaint["valid"]:
0067                         complaint_defect = eval_complaint["defect"]
0068
0069         nodes = [
0070             {
0071                 "id": "cheque_issuance_presentation",
0072                 "name": "Cheque Presentation (Within 3 Months / 90 Days)",
0073                 "statute": "Section 138 Proviso (a) NI Act & RBI 2011-12",
0074                 "authority": "Section 138(a) NI Act",
0075                 "completed": bool(presentation_date) or bool(dishonour_date) or
case_data.get("dishonour_memo", False),
0076                 "date": presentation_date or cheque_date,
0077                 "defect": cheque_defect,
0078                 "severity": "FATAL" if cheque_defect else "NONE"
0079             },
0080             {
0081                 "id": "cheque_dishonour",
0082                 "name": "Cheque Dishonour & Bank Return Memo",
0083                 "statute": "Section 138 & Section 146 NI Act",
0084                 "authority": "Section 146 Presumption of Bank Slip",
0085                 "completed": bool(dishonour_date) or case_data.get("dishonour_memo", False),
0086                 "date": dishonour_date,
0087                 "defect": None,
0088                 "severity": "NONE"
0089             },
0090             {
0091                 "id": "statutory_notice",
0092                 "name": "Section 138(b) Statutory Demand Notice (30 Days)",
0093                 "statute": "Section 138(b) NI Act",
0094                 "authority": "Central Bank of India v. Saxons Farms (1999)",
0095                 "completed": bool(notice_date) or case_data.get("notice_sent", False),
0096                 "date": notice_date,
0097                 "defect": notice_defect,
0098                 "severity": "FATAL" if notice_defect else "NONE"
0099             },
0100             {
0101                 "id": "payment_grace_window",
0102                 "name": "15-Day Statutory Grace Window for Payment",
0103                 "statute": "Section 138(c) NI Act",
0104                 "authority": "Subodh S. Salaskar v. Jayprakash M. Shah (2008)",
0105                 "completed": bool(case_data.get("grace_period_expired", True)),
0106                 "date": None,
0107                 "defect": None,
0108                 "severity": "NONE"
0109             },
0110             {
0111                 "id": "complaint_filing",
0112                 "name": "Section 142 Criminal Complaint before Magistrate (1 Month)",
0113                 "statute": "Section 142(1)(b) & Section 142(2) NI Act",
0114                 "authority": "Yogendra Pratap Singh v. Savitri Pandey (2014)",
0115                 "completed": bool(complaint_date) or case_data.get("complaint_filed",
-> False) or days_post_notice is not None,
0116                 "date": complaint_date,
0117                 "defect": complaint_defect,
0118                 "severity": "FATAL" if complaint_defect else "NONE"
0119             },
0120             {
0121                 "id": "interim_compensation",
0122                 "name": "Section 143A Interim Compensation (Up to 20%)",
0123                 "statute": "Section 143A NI Act",
0124                 "authority": "Rakesh Ranjan Shahi v. State of UP (2024)",
0125                 "completed": bool(case_data.get("interim_compensation_ordered")),
0126                 "date": None,

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0127         "defect": None,
0128         "severity": "NONE"
0129     }
0130 ]
0131
0132 current_stage = "Pre-Notice Stage"
0133 if complaint_date or days_post_notice is not None:
0134     current_stage = "Magistrate Trial / Summons Stage"
0135 elif notice_date:
0136     current_stage = "Statutory Demand Window / Cause of Action"
0137 elif dishonour_date:
0138     current_stage = "Post-Dishonour Notice Drafting Window"
0139
0140 return {
0141     "current_stage": current_stage,
0142     "nodes": nodes,
0143     "total_nodes": len(nodes),
0144     "completed_nodes": sum(1 for n in nodes if n["completed"])
0145 }
0146
0147 def get_next_actions(self, case_data: Dict[str, Any], evaluation_result:
-> Optional[Dict[str, Any]] = None) -> List[Dict[str, Any]]:
0148     """Returns prioritized next best actions for Section 138 NI Act litigation."""
0149     actions = []
0150     norm = NIActStatutoryRules.normalize_s138_payload(case_data)
0151     notice_sent = bool(norm.get("notice_date")) or case_data.get("notice_sent")
0152     complaint_filed = bool(norm.get("complaint_date")) or case_data.get(
-> "complaint_filed")
0153     amount = norm.get("cheque_amount", 0.0)
0154
0155     if not notice_sent:
0156         actions.append({
0157             "priority": 1,
0158             "action": "Draft and Dispatch Section 138 Statutory Demand Notice via
-> Registered Post AD",
0159             "reason": "Must be dispatched within 30 days of receiving the bank
-> dishonour return memo.",
0160             "authority": "Section 138(b) Negotiable Instruments Act, 1881"
0161         })
0162     elif notice_sent and not complaint_filed:
0163         actions.append({
0164             "priority": 1,
0165             "action": "File Section 138 Criminal Complaint before Judicial Magistrate
-> (Payee Branch Jurisdiction)",
0166             "reason": "File within 1 month post expiry of 15-day grace period u/s
-> 142(1)(b) & Section 142(2) (Bridgestone India).",
0167             "authority": "Section 142(1)(b) & Section 142(2) NI Act"
0168         })
0169         if amount > 0:
0170             interim_estimate = NIActStatutoryRules.calculate_interim_compensation_estima
-> te(amount)
0171             actions.append({
0172                 "priority": 2,
0173                 "action": f"File Application under Section 143A for 20% Interim
-> Compensation (Est: Rs.{interim_estimate:.2f})",
0174                 "reason": "Court may order drawer to pay up to 20% of cheque amount as
-> interim compensation upon framing of notice.",
0175                 "authority": "Section 143A NI Act (Rakesh Ranjan Shahi v. State of UP)"
0176             })
0177     else:
0178         actions.append({
0179             "priority": 1,
0180             "action": "File Application under Section 143A for 20% Interim Deposit",
0181             "reason": "Secure immediate interim monetary relief pending trial.",
0182             "authority": "Section 143A NI Act"
0183         })
0184
0185     accused_type = norm.get("accused_type", "")
0186     company_arrayed = case_data.get("company_arrayed")
0187     directors_named = case_data.get("directors_named")
0188     vicarious_eval = NIActStatutoryRules.evaluate_vicarious_liability(accused_type,
-> company_arrayed, directors_named)
0189     if not vicarious_eval["valid"]:
0190         actions.append({

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0191         "priority": 1,
0192         "action": "Implead Company & Active In-Charge Directors under Section 141",
0193         "reason": vicarious_eval["defect"],
0194         "authority": "Section 141 NI Act (Aneeta Hada v. Godfather Travels)"
0195     })
0196
0197     return actions
0198
0199     @classmethod
0200     def analyze(cls, case_data: Dict[str, Any], concepts: Optional[List[Dict[str, Any]]] =
-> None) -> Dict[str, Any]:
0201         norm = NIActStatutoryRules.normalize_s138_payload(case_data)
0202         norm["case_type"] = "cheque_bounce"
0203         resolved_concepts: List[Dict[str, Any]] = concepts if concepts is not None else
-> (norm.get("concepts") or [])
0204         contradictions = AdversarialEngine.detect_contradictions(norm, resolved_concepts)
0205         scoring = ScoringEngineV12.calculate_score_with_trace(norm, resolved_concepts,
-> contradictions, {}, {})
0206
0207         instance = cls()
0208         procedural_graph = instance.build_procedural_graph(norm)
0209         next_actions = instance.get_next_actions(norm, scoring)
0210         defenses = Section138DefenceCatalogue.analyze_case_defenses(norm)
0211
0212         cheque_amount = norm.get("cheque_amount", 0.0)
0213         interim_compensation = NIActStatutoryRules.calculate_interim_compensation_estimate(
-> cheque_amount)
0214         appellate_deposit = NIActStatutoryRules.calculate_appellate_deposit_estimate(
-> cheque_amount)
0215         jurisdiction_info = NIActStatutoryRules.evaluate_s142_jurisdiction(
0216             payee_branch=norm.get("branch_name") or norm.get("payee_branch"),
0217             drawer_branch=norm.get("drawer_branch")
0218         )
0219
0220         return {
0221             **scoring,
0222             "domain": "cheque_bounce",
0223             "procedural_graph": procedural_graph,
0224             "next_actions": next_actions,
0225             "contradictions": contradictions,
0226             "identified_defenses": defenses,
0227             "interim_compensation_estimate": interim_compensation,
0228             "appellate_deposit_estimate": appellate_deposit,
0229             "territorial_jurisdiction_rule": jurisdiction_info,
0230             "statutory_authorities": NIActStatutoryRules.LANDMARK_PRECEDENTS
0231         }

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=====
[SOURCE FILE: backend/cheque_bounce/ni_act_statutory_rules.py]
Module: Section 138 NI Act Engine | Path: backend/cheque_bounce/ni_act_statutory_rules.py
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0001 """
0002 JudiQ AI -- Section 138 NI Act Statutory Rules Evaluator
0003 High-performance statutory rule evaluations for Negotiable Instruments Act litigation.
0004 Includes Section 142(2) territorial jurisdiction, RBI 3-month presentation rules,
0005 Section 143A interim compensation, Section 148 appellate deposits, and Aneeta Hada
-> compliance.
0006 """
0007
0008 from typing import Dict, Any, List, Optional
0009 from datetime import datetime, date
0010 from utils import parse_date, days_between
0011
0012 class NIActStatutoryRules:
0013     """
0014     Statutory rule definitions and fast validation methods for Section 138 NI Act cases.
0015     """
0016
0017     CHEQUE_VALIDITY_DAYS = 90 # RBI Circular DBOD.AML.BC.No.47/2011-12 (3 Months)
0018     NOTICE_LIMIT_DAYS = 30 # Section 138(b) statutory notice window
0019     PAYMENT_GRACE_DAYS = 15 # Section 138(c) statutory grace window
0020     COMPLAINT_LIMIT_DAYS = 30 # Section 142(1)(b) filing window
0021     MAX_INTERIM_COMPENSATION_PCT = 20 # Section 143A interim compensation limit (up to 20%)

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0022 MIN_APPELLATE_DEPOSIT_PCT = 20      # Section 148 appellate minimum deposit (at least
-> 20%)
0023
0024 LANDMARK_PRECEDENTS = {
0025     "statutory_notice": {
0026         "citation": "Central Bank of India v. Saxons Farms (1999) 8 SCC 221",
0027         "court": "Supreme Court of India",
0028         "ratio": "Notice must clearly demand the specific cheque amount within 30 days
-> of receiving bank dishonour memo."
0029     },
0030     "premature_complaint": {
0031         "citation": "Yogendra Pratap Singh v. Savitri Pandey (2014) 10 SCC 129",
0032         "court": "Supreme Court of India",
0033         "ratio": "No cause of action arises prior to the completion of 15 days from
-> notice receipt. Premature complaint is non-est and cannot be cured."
0034     },
0035     "legal_presumption": {
0036         "citation": "Rangappa v. Sri Mohan (2010) 11 SCC 441",
0037         "court": "Supreme Court of India",
0038         "ratio": "Section 139 presumption includes the existence of a legally
-> enforceable debt. Standard of rebuttal by accused is preponderance of probabilities."
0039     },
0040     "signed_blank_cheque": {
0041         "citation": "Bir Singh v. Mukesh Kumar (2019) 4 SCC 197",
0042         "court": "Supreme Court of India",
0043         "ratio": "A person signing a cheque is presumed to be liable even if
-> particulars are filled by another, unless rebutted by credible evidence."
0044     },
0045     "financial_capacity": {
0046         "citation": "Basalingappa v. Mudibasappa (2019) 5 SCC 418",
0047         "court": "Supreme Court of India",
0048         "ratio": "Accused can rebut Section 139 presumption by raising probable doubt
-> regarding complainant's financial capacity to advance large cash loan."
0049     },
0050     "vicarious_liability": {
0051         "citation": "Aneeta Hada v. Godfather Travels & Tours (2012) 5 SCC 661",
0052         "court": "Supreme Court of India",
0053         "ratio": "For maintaining prosecution against directors u/s 141, arraigning the
-> company as an accused is an indispensable condition precedent."
0054     },
0055     "interim_compensation": {
0056         "citation": "Rakesh Ranjan Shahi v. State of U.P. (2024) INSC 583",
0057         "court": "Supreme Court of India",
0058         "ratio": "Grant of Section 143A interim compensation (up to 20%) is
-> discretionary and requires a reasoned order evaluating prima facie strength."
0059     },
0060     "appellate_deposit": {
0061         "citation": "Surinder Singh Deswal v. Virender Gandhi (2019) 11 SCC 341",
0062         "court": "Supreme Court of India",
0063         "ratio": "Appellate Court under Section 148 NI Act ordinarily directs deposit
-> of minimum 20% of fine/compensation to suspend sentence on appeal."
0064     },
0065     "territorial_jurisdiction": {
0066         "citation": "Bridgestone India Pvt Ltd v. Inderpal Singh (2016) 2 SCC 341",
0067         "court": "Supreme Court of India",
0068         "ratio": "Section 142(2) (2015 Amendment) governs territorial jurisdiction.
-> Cheque delivered for collection through account gives exclusive jurisdiction to court
-> where payee maintains bank account branch."
0069     }
0070 }
0071
0072 @staticmethod
0073 def normalize_s138_payload(case_data: Dict[str, Any]) -> Dict[str, Any]:
0074     """
0075     Fast typed normalizer consolidating all field aliases in Section 138 data.
0076     """
0077     normalized = dict(case_data)
0078
0079     # Cheque Amount
0080     amt = case_data.get("amount") or case_data.get("cheque_amount") or
-> case_data.get("debt_amount") or 0.0
0081     try:
0082         normalized["cheque_amount"] = float(amt)
0083         normalized["amount"] = float(amt)

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0084         except (ValueError, TypeError):
0085             normalized["cheque_amount"] = 0.0
0086             normalized["amount"] = 0.0
0087
0088         # Key Dates
0089         normalized["cheque_date"] = case_data.get("cheque_date") or case_data.get(
-> "date_of_cheque")
0090         normalized["presentation_date"] = case_data.get("presentation_date") or
-> case_data.get("date_of_presentation")
0091         normalized["dishonour_date"] = case_data.get("dishonour_date") or
-> case_data.get("date_of_dishonour")
0092         normalized["notice_date"] = case_data.get("notice_date") or case_data.get(
-> "date_of_notice")
0093         normalized["notice_delivery_date"] = case_data.get("notice_delivery_date") or
-> case_data.get("notice_received_date")
0094         normalized["complaint_date"] = case_data.get("complaint_date") or
-> case_data.get("date_of_complaint") or case_data.get("filing_date")
0095
0096         # Accused / Complainant
0097         normalized["complainant_name"] = case_data.get("complainant_name") or
-> case_data.get("payee_name") or case_data.get("plaintiff_name")
0098         normalized["accused_name"] = case_data.get("accused_name") or case_data.get(
-> "drawer_name") or case_data.get("defendant_name")
0099         normalized["accused_type"] = case_data.get("accused_type") or case_data.get(
-> "accused_entity_type") or "Individual"
0100
0101         return normalized
0102
0103     @classmethod
0104     def evaluate_cheque_validity(cls, cheque_date: Optional[str], presentation_date:
-> Optional[str]) -> Dict[str, Any]:
0105         """
0106         Evaluates whether cheque was presented within 3 months (90 days) under RBI
-> regulations.
0107         """
0108         if not cheque_date or not presentation_date:
0109             return {"valid": True, "defect": None, "fatal": False}
0110
0111         days = days_between(cheque_date, presentation_date)
0112         if days is None:
0113             return {"valid": True, "defect": None, "fatal": False}
0114
0115         if days < 0:
0116             return {
0117                 "valid": False,
0118                 "defect": f"Presentation date ({presentation_date}) precedes cheque
-> issuance date ({cheque_date}). Post-dated cheque presented prematurely.",
0119                 "fatal": True,
0120                 "remedy": "Re-present cheque on or after the actual date of the cheque."
0121             }
0122
0123         if days > cls.CHEQUE_VALIDITY_DAYS:
0124             return {
0125                 "valid": False,
0126                 "defect": f"Cheque presented on day {days} after issuance (Limit: 90 days /
-> 3 months under RBI Circular DBOD.AML.BC.No.47/2011-12). Outdated / stale cheque.",
0127                 "fatal": True,
0128                 "authority": "Section 138 Proviso (a) NI Act & RBI Circular 2011-12",
0129                 "remedy": "Section 138 cannot be maintained on a stale cheque; pursue civil
-> recovery under Order 37 CPC / Ordinary Suit if debt is not time-barred."
0130             }
0131
0132         return {"valid": True, "defect": None, "fatal": False, "days_elapsed": days}
0133
0134     @classmethod
0135     def evaluate_notice_timeline(cls, days_to_notice: Optional[int]) -> Dict[str, Any]:
0136         """Evaluates whether demand notice was dispatched within statutory 30-day window."""
0137         if days_to_notice is None:
0138             return {"valid": True, "defect": None, "fatal": False}
0139
0140         if days_to_notice > cls.NOTICE_LIMIT_DAYS:
0141             return {
0142                 "valid": False,

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0143         "defect": f"Statutory demand notice dispatched on day {days_to_notice}
-> (delayed by {days_to_notice - cls.NOTICE_LIMIT_DAYS} days; Limit: 30 days u/s 138(b)).",
0144         "fatal": True,
0145         "authority": "Central Bank of India v. Saxons Farms (1999) 8 SCC 221",
0146         "remedy": "Examine if date of receipt of bank memo (rather than date on
-> memo) brings dispatch within 30 days."
0147     }
0148     return {"valid": True, "defect": None, "fatal": False}
0149
0150 @classmethod
0151 def evaluate_complaint_timeline(cls, days_post_notice: Optional[int]) -> Dict[str, Any]:
0152     """Evaluates 15-day grace period and 30-day filing window."""
0153     if days_post_notice is None:
0154         return {"valid": True, "defect": None, "fatal": False}
0155
0156     if days_post_notice < cls.PAYMENT_GRACE_DAYS:
0157         return {
0158             "valid": False,
0159             "defect": f"PREMATURE COMPLAINT: Complaint filed prematurely on day
-> {days_post_notice}. Section 138 cause of action only matures on day 16 post receipt of
-> notice.",
0160             "fatal": True,
0161             "authority": "Yogendra Pratap Singh v. Savitri Pandey (2014) 10 SCC 129",
0162             "remedy": "Withdraw premature complaint before summons and refile upon
-> cause of action maturity."
0163         }
0164
0165     total_limit = cls.PAYMENT_GRACE_DAYS + cls.COMPLAINT_LIMIT_DAYS
0166     if days_post_notice > total_limit:
0167         delay_days = days_post_notice - total_limit
0168         return {
0169             "valid": False,
0170             "defect": f"Complaint filed after {days_post_notice} days (delayed by
-> {delay_days} days u/s 142(1)(b)).",
0171             "fatal": True,
0172             "authority": "Section 142(1)(b) NI Act",
0173             "remedy": "File Section 142(1)(b) proviso application for condonation of
-> delay showing sufficient cause."
0174         }
0175
0176     return {"valid": True, "defect": None, "fatal": False}
0177
0178 @classmethod
0179 def evaluate_s142_jurisdiction(
0180     cls,
0181     payee_branch: Optional[str] = None,
0182     drawer_branch: Optional[str] = None,
0183     presentation_mode: str = "account_collection"
0184 ) -> Dict[str, Any]:
0185     """
0186     Evaluates Section 142(2) territorial jurisdiction under the 2015 Amendment.
0187     """
0188     if "account" in presentation_mode.lower() or "clearing" in presentation_mode.lower(
-> ) or presentation_mode == "account_collection":
0189         competent_court = f"Court having territorial jurisdiction over Payee's Bank
-> Branch ({payee_branch or 'Payee Branch'})"
0190         rule = "Section 142(2)(a) NI Act: Cheque delivered for collection through an
-> account; jurisdiction lies where branch of bank maintaining payee's account is
-> situated."
0191     else:
0192         competent_court = f"Court having territorial jurisdiction over Drawer's Bank
-> Branch ({drawer_branch or 'Drawer Branch'})"
0193         rule = "Section 142(2)(b) NI Act: Cheque presented for payment otherwise
-> through an account (over-the-counter); jurisdiction lies where drawer's branch is
-> situated."
0194
0195     return {
0196         "competent_jurisdiction": competent_court,
0197         "statutory_rule": rule,
0198         "governing_precedent": "Bridgestone India Pvt Ltd v. Inderpal Singh (2016) 2
-> SCC 341",
0199         "section": "Section 142(2) Negotiable Instruments Act, 1881"
0200     }
0201

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0202 @classmethod
0203 def evaluate_vicarious_liability(cls, accused_type: str, company_arrayed:
-> Optional[bool], directors_named: Optional[bool]) -> Dict[str, Any]:
0204     """Evaluates Aneeta Hada compliance for corporate drawers."""
0205     corporate_types = {
0206         "pvt ltd", "ltd company", "pvt ltd/ltd company", "public ltd",
0207         "public ltd company", "llp", "partnership firm", "trust", "society"
0208     }
0209     type_str = str(accused_type or "").strip().lower()
0210     if type_str in corporate_types or any(ct in type_str for ct in ["pvt", "ltd",
-> "llp", "partnership", "firm", "company"]):
0211         if company_arrayed is False or company_arrayed == "No":
0212             return {
0213                 "valid": False,
0214                 "defect": "Company is not arrayed as principal accused. Prosecution
-> against directors alone is fatal (Aneeta Hada v. Godfather Travels).",
0215                 "fatal": True,
0216                 "authority": "Aneeta Hada v. Godfather Travels & Tours (2012) 5 SCC
-> 661",
0217                 "remedy": "Implead company as Accused No. 1 via amendment before
-> summons are issued."
0218             }
0219         if not directors_named or directors_named == "No":
0220             return {
0221                 "valid": False,
0222                 "defect": "Specific averments regarding day-to-day management and
-> in-charge status u/s 141 missing in complaint.",
0223                 "fatal": False,
0224                 "remedy": "Detail specific role of signatory and managing directors in
-> affidavit."
0225             }
0226         return {"valid": True, "defect": None, "fatal": False}
0227
0228 @classmethod
0229 def calculate_interim_compensation_estimate(cls, cheque_amount: float) -> float:
0230     """Calculates maximum 20% interim compensation under Section 143A."""
0231     if not cheque_amount or cheque_amount <= 0:
0232         return 0.0
0233     return round(float(cheque_amount) * (cls.MAX_INTERIM_COMPENSATION_PCT / 100.0), 2)
0234
0235 @classmethod
0236 def calculate_appellate_deposit_estimate(cls, fine_amount: float) -> float:
0237     """Calculates minimum 20% appellate deposit under Section 148."""
0238     if not fine_amount or fine_amount <= 0:
0239         return 0.0
0240     return round(float(fine_amount) * (cls.MIN_APPELLATE_DEPOSIT_PCT / 100.0), 2)

```

```

=====
[SOURCE FILE: backend/cheque_bounce/defence_catalogue.py]
Module: Section 138 NI Act Engine | Path: backend/cheque_bounce/defence_catalogue.py
=====

```

```

0001 """
0002 JudiQ AI -- Section 138 NI Act Defense Catalogue & Rebuttal Matrix
0003 Structured defense arguments, evidentiary thresholds, and precedent authorities for NI Act
-> litigation.
0004 """
0005
0006 from typing import Dict, Any, List
0007
0008 class Section138DefenceCatalogue:
0009     """
0010     Catalogues substantive and procedural defenses in Section 138 proceedings
0011     with corresponding statutory precedents and counter-strategies.
0012     """
0013
0014     DEFENCE_PATTERNS = {
0015         "security_cheque": {
0016             "name": "Security Cheque Defense",
0017             "statutory_basis": "Section 138 Explanation (Legally Enforceable Debt)",
0018             "key_precedent": "Sunil Todi v. State of Gujarat (2021) 16 SCC 293 / Indus
-> Airways v. Magnum Aviation (2014) 12 SCC 539",
0019             "principle": "A cheque issued as security for an existing or contingent
-> liability is enforceable once the liability crystallizes prior to presentation.",

```

```

0020         "evidentiary_burden": "Accused must demonstrate that on the date of cheque
-> presentation, no crystallized debt had matured.",
0021         "complainant_counter": "Produce ledger statements, invoices, and purchase
-> orders confirming liability crystallised prior to presentation."
0022     },
0023     "signature_dispute": {
0024         "name": "Signature Dispute / Forgery Defense",
0025         "statutory_basis": "Section 138 (Cheque drawn on an account maintained by
-> drawer)",
0026         "key_precedent": "Ajitsinh Cheharsinh Rathod v. G.V. Brahmhatt (2024) 4 SCC
-> 341",
0027         "principle": "Merely denying signature is insufficient. Accused must apply
-> under Section 45 IEA / Section 39 BSA for Forensic Hand-writing Expert comparison.",
0028         "evidentiary_burden": "Accused must produce contemporaneous specimen signatures
-> and file an expert examination application before defense evidence closes.",
0029         "complainant_counter": "Rely on Section 146 bank memo (which cited 'Funds
-> Insufficient', not 'Signature Differs') to create strong presumption."
0030     },
0031     "time_barred_debt": {
0032         "name": "Time-Barred Debt Defense",
0033         "statutory_basis": "Section 138 Explanation read with Section 25(3) Indian
-> Contract Act, 1872",
0034         "key_precedent": "K. Hymavathi v. State of A.P. (2023) SCC OnLine SC 1128",
0035         "principle": "A cheque issued for a time-barred debt constitutes a valid
-> promise to pay under Section 25(3) ICA if signed by drawer.",
0036         "evidentiary_burden": "Accused must prove the underlying debt exceeded 3 years
-> limitation without written acknowledgment.",
0037         "complainant_counter": "Argue that execution of signed cheque constitutes fresh
-> written acknowledgment of liability u/s 25(3) ICA."
0038     },
0039     "notice_non_service": {
0040         "name": "Non-Service of Statutory Notice",
0041         "statutory_basis": "Section 138(b) read with Section 27 General Clauses Act,
-> 1897",
0042         "key_precedent": "C.C. Alavi Haji v. Palapetty Muhammed (2007) 6 SCC 555",
0043         "principle": "Where notice is sent to correct address by Registered Post /
-> Speed Post, valid service is presumed. Drawer cannot claim non-receipt without paying
-> within 15 days of summons.",
0044         "evidentiary_burden": "Accused must establish notice was sent to a bogus or
-> incorrect address.",
0045         "complainant_counter": "Furnish postal dispatch receipt, tracking delivery
-> confirmation, and address proof from KYC/contracts."
0046     },
0047     "lack_of_financial_capacity": {
0048         "name": "Lack of Financial Capacity of Complainant",
0049         "statutory_basis": "Section 139 Rebuttal of Presumption",
0050         "key_precedent": "Tedhi Singh v. Narayan Dass (2020) 6 SCC 738 / APS Forex
-> Services v. Shakti International (2020) 12 SCC 724",
0051         "principle": "Accused must raise a probable defense in cross-examination
-> questioning source of funds before complainant is required to prove financial
-> capacity.",
0052         "evidentiary_burden": "Accused must elicit material admissions during
-> complainant cross-examination regarding absence of ITR declaration or bank withdrawal.",
0053         "complainant_counter": "Place Income Tax Returns (ITR), audited balance sheets,
-> and bank account withdrawal slips on record."
0054     }
0055 }
0056
0057 @classmethod
0058 def get_defense_intel(cls, defense_key: str) -> Dict[str, Any]:
0059     """Returns comprehensive defense strategy for given posture."""
0060     return cls.DEFENCE_PATTERNS.get(defense_key, {
0061         "name": "General Section 138 Defense",
0062         "statutory_basis": "Section 138/139 NI Act",
0063         "key_precedent": "Rangappa v. Sri Mohan (2010) 11 SCC 441",
0064         "principle": "Rebut presumption by preponderance of probabilities.",
0065         "evidentiary_burden": "Raise credible doubts on legal liability.",
0066         "complainant_counter": "Rely on documentary contracts and bank dishonour memo."
0067     })
0068
0069 @classmethod
0070 def analyze_case_defenses(cls, case_data: Dict[str, Any]) -> List[Dict[str, Any]]:
0071     """Identifies applicable defenses based on case signals."""
0072     identified = []

```

```
0073         is_security = case_data.get("is_security_cheque") or case_data.get(
->         "security_cheque")
0074         if is_security:
0075             identified.append(cls.get_defense_intel("security_cheque"))
0076
0077         if case_data.get("disputed_signature") or case_data.get("signature_mismatch"):
0078             identified.append(cls.get_defense_intel("signature_dispute"))
0079
0080         if case_data.get("notice_served") is False or case_data.get("notice_delivery_dispute
->         d"):
0081             identified.append(cls.get_defense_intel("notice_non_service"))
0082
0083         if case_data.get("time_barred") or case_data.get("debt_older_than_3_years"):
0084             identified.append(cls.get_defense_intel("time_barred_debt"))
0085
0086         return identified
```

```
#####
# GOVERNMENT OF INDIA -- COPYRIGHT OFFICE (copyright.gov.in)
# FORM XIV / STATEMENT OF PARTICULARS -- RULE 70(5) OF COPYRIGHT RULES, 2013
# TITLE OF WORK      : JudiQ: Section 138 NI Act Litigation Intelligence Platform
# APPLICANT / AUTHOR: Atharva (Individual / Sole Creator)
# CLASS OF WORK      : Literary Work - Computer Software (Section 2(o), Indian Copyright Act 1957)
# DEPOSIT PORTION    : SECTION B -- LAST 10 PAGES OF SOURCE CODE
# DESCRIPTION        : Section 138 statutory drafter, S.142(1)(b) delay condonation
#                    : petitions, S.143A interim compensation, S.138 timeline audits,
#                    : and Magistrate Court criminal complaint drafting engine.
#####
```

```
=====
[SOURCE FILE: backend/banking/statutory_drafter.py]
Module: Section 138 NI Act Engine | Path: backend/banking/statutory_drafter.py
=====
```

```
0001 """
0002 JudiQ Statutory Document Drafting Engine
0003 Generates court-admissible legal notices, delay condonation petitions,
0004 evidence certificates, and interim compensation petitions for Indian banking recovery.
0005 """
0006
0007 from typing import Dict, Any, Optional
0008 from datetime import datetime, date, timezone
0009 from fastapi import HTTPException
0010 from pydantic import BaseModel, Field
0011
0012
0013 class StatutoryDraftRequest(BaseModel):
0014     document_type: str # "S138_DEMAND_NOTICE", "SARFAESI_13_2_NOTICE", "SECTION_65B_CERTIFI
0015     CATE", "S142_CONDONATION_PETITION", "S143A_INTERIM_COMPENSATION"
0016     bank_name: str
0017     branch_name: str
0018     officer_name: str
0019     officer_designation: str = "Authorized Officer / Branch Manager"
0020     borrower_name: str
0021     borrower_address: str = "Corporate Office / Registered Address, Commercial Hub"
0022     loan_account_no: str
0023     default_amount: float
0024     cheque_no: Optional[str] = "490182"
0025     cheque_date: Optional[str] = "2024-01-10"
0026     dishonour_date: Optional[str] = "2024-01-18"
0027     dishonour_reason: Optional[str] = "Funds Insufficient"
0028     notice_date: Optional[str] = "2024-01-30"
0029     delay_days: Optional[int] = 0
0030     delay_reason: Optional[str] = "Administrative processing delays during branch
0031     reconciliation"
0032     property_description: Optional[str] = "Commercial Unit No. 402, 4th Floor, Apex
0033     Business Center, Plot 14, MIDC Area"
0034     is_agricultural_land: Optional[bool] = False
0035     cersai_registered: Optional[bool] = True
0036
0037 class StatutoryDraftResponse(BaseModel):
0038     success: bool
0039     document_type: str
0040     title: str
0041     statutory_citation: str
0042     markdown_content: str
0043     formatted_preview: str
0044     mandatory_clauses_included: list[str]
0045     compliance_checklist: list[str]
0046
0047 def generate_statutory_document(req: StatutoryDraftRequest) -> StatutoryDraftResponse:
0048     doc_type = req.document_type.upper()
0049     now_str = datetime.now().strftime("%d %B %Y")
0050     amt_formatted = f"Rs.{req.default_amount:,.2f}"
0051
0052     advocate_notice = (
0053         "> **[MANDATORY LEGAL NOTICE: FOR ADVOCATE REVIEW ONLY -- "
0054         "SUBJECT TO INDEPENDENT VERIFICATION UNDER APPLICABLE HIGH COURT / DRT PRACTICE
0055         RULES -- "
```

```

0054         "THIS PLATFORM PROVIDES DECISION SUPPORT AND DOES NOT CONSTITUTE FORMAL LEGAL
->     ADVICE]**\n\n"
0055     )
0056
0057     if doc_type == "S138_DEMAND_NOTICE":
0058         title = "FORMAL STATUTORY DEMAND NOTICE UNDER SECTION 138(b) OF THE NEGOTIABLE
->     INSTRUMENTS ACT, 1881"
0059         citation = "Section 138(b) & Section 141 of Negotiable Instruments Act, 1881 (Read
->     with Section 27 General Clauses Act & Section 10 GCA)"
0060
0061         md = f""{advocate_notice}# {title}
0062     **REGISTERED POST WITH ACKNOWLEDGEMENT DUE / SPEED POST**
0063
0064     **Date:** {req.notice_date or now_str}
0065
0066     **TO:**
0067     **1. {req.borrower_name}**
0068     {req.borrower_address}
0069     *(Hereinafter referred to as the "Principal Debtor / Accused")*
0070
0071     **2. ALL DIRECTORS / PARTNERS / AUTHORIZED SIGNATORIES**
0072     *(Liable in terms of Section 141 of the Negotiable Instruments Act, 1881)*
0073
0074     ---
0075
0076     **FROM:**
0077     **{req.bank_name}**
0078     {req.branch_name}
0079     Through: **{req.officer_name}**, **{req.officer_designation}**
0080
0081     ---
0082
0083     ### SUBJECT: STATUTORY DEMAND NOTICE FOR PAYMENT OF DISHONoured CHEQUE AMOUNTING TO
->     {amt_formatted} UNDER SECTION 138(b) OF THE NEGOTIABLE INSTRUMENTS ACT, 1881
0084
0085     Sir / Madam,
0086
0087     Under instructions from and on behalf of our client, **{req.bank_name}**, we hereby serve
->     upon you this Statutory Legal Demand Notice as under:
0088
0089     1. **LEGAL LIABILITY & SANCTION:** You, the addressee(s), availed credit / loan facility
->     under Loan Account No. **{req.loan_account_no}** from our client bank. In discharge of
->     your legally enforceable debt and liability, you issued the following Negotiable
->     Instrument:
0090     - **Cheque No.:** {req.cheque_no}
0091     - **Cheque Date:** {req.cheque_date}
0092     - **Drawn On:** Accused Account maintained with your banker
0093     - **Amount:** {amt_formatted} (Rupees {amt_formatted} Only)
0094
0095     2. **PRESENTATION & DISHONOUR:** Our client bank presented the said cheque for clearance
->     within its statutory validity period. However, the said cheque was returned unpaid and
->     dishonoured by the bank vide Return Memo dated **{req.dishonour_date}** with the
->     endorsement: **"{req.dishonour_reason}"**.
0096
0097     3. **STATUTORY MANDATE UNDER SECTION 138:** In terms of the provisions of Section 138 of
->     the Negotiable Instruments Act, 1881 (as amended), you are hereby called upon to pay
->     the full cheque amount of **{amt_formatted}** within **FIFTEEN (15) DAYS** from the
->     date of receipt of this notice. *(Note: If Day 15 falls on a court/public holiday,
->     Section 10 General Clauses Act applies)*.
0098
0099     4. **CONSEQUENCES OF DEFAULT (CRIMINAL PROSECUTION & S.143A COMPENSATION):** Take notice
->     that in the event of your failure to make payment of the said amount within the
->     stipulated mandatory period of **15 days**, our client bank shall institute Criminal
->     Proceedings against you under **Section 138 read with Section 141 of the Negotiable
->     Instruments Act, 1881**, wherein you shall be liable for imprisonment for a term up to
->     **TWO (2) YEARS**, or with fine which may extend to **TWICE THE AMOUNT OF THE CHEQUE**,
->     or with both.
0100
0101     5. **INTERIM COMPENSATION NOTICE:** Further take notice that upon filing of the complaint,
->     our client bank shall file an application under **Section 143A of the Negotiable
->     Instruments Act, 1881**, seeking an order directing you to deposit **20% of the cheque
->     amount ({f"Rs.{req.default_amount*0.2:,.2f}")** as interim compensation.
0102
0103     Yours faithfully,

```

```

0104
0105 For **{req.bank_name}**
0106
0107
0108 **{req.officer_name}**
0109 *{req.officer_designation}*
0110 {req.branch_name}
0111 ""
0112     clauses = [
0113         "Mandatory 15-day cure window strictly recited as per Section 138(c)",
0114         "Section 141 Vicarious Liability clause covering active Directors /
-> Signatories",
0115         "Statutory notice dispatched within 30 days from dishonour memo date",
0116         "Section 143A 20% Interim Compensation warning clause included"
0117     ]
0118     checklist = [
0119         "Retain India Post Speed Post receipt and online delivery tracking report (C.C.
-> Alavi Haji compliance)",
0120         "Preserve Banker's Return Memo in original stamped condition",
0121         "Compute 15-day cure period strictly from India Post confirmed delivery date"
0122     ]
0123
0124     elif doc_type == "SARFAESI_13_2_NOTICE":
0125         if req.is_agricultural_land:
0126             raise HTTPException(
0127                 status_code=400,
0128                 detail="SARFAESI Enforcement Barred: Section 31(i) strictly prohibits
-> Chapter III security enforcement against agricultural land (Supreme Court precedent in
-> K. Sreedhar v. Raus Construction). Bank must proceed via Commercial Civil Suit (Order
-> 37 CPC) or DRT Section 19 Original Application."
0129             )
0130         if req.cersai_registered is False:
0131             raise HTTPException(
0132                 status_code=400,
0133                 detail="SARFAESI Enforcement Barred: Section 26D mandates prior
-> registration of security interest with CERSAI before initiating Section 13(2)
-> enforcement. Register security interest on CERSAI portal before issuing statutory
-> demand."
0134             )
0135
0136         title = "DEMAND NOTICE UNDER SECTION 13(2) OF THE SARFAESI ACT, 2002"
0137         citation = "Section 13(2) & 13(3) of Securitisation and Reconstruction of Financial
-> Assets and Enforcement of Security Interest Act, 2002"
0138
0139         md = f""{advocate_notice}# {title}
0140 **BY REGISTERED POST WITH A.D. / SPEED POST / HAND DELIVERY**
0141
0142 **Date:** {req.notice_date or now_str}
0143
0144 **TO:**
0145 **1. {req.borrower_name}** (Borrower / Mortgagor)
0146 {req.borrower_address}
0147
0148 ---
0149
0150 **FROM:**
0151 **{req.bank_name}**
0152 {req.branch_name}
0153 (Secured Creditor within the meaning of Section 2(1)(zd) of the SARFAESI Act, 2002)
0154
0155 ---
0156
0157 ### SUBJECT: DEMAND NOTICE UNDER SECTION 13(2) OF THE SECURITISATION AND RECONSTRUCTION OF
-> FINANCIAL ASSETS AND ENFORCEMENT OF SECURITY INTEREST ACT, 2002 IN RESPECT OF LOAN
-> ACCOUNT NO. {req.loan_account_no}
0158
0159 Sir / Madam,
0160
0161 The undersigned is the **Authorized Officer** of **{req.bank_name}** under the
-> Securitisation and Reconstruction of Financial Assets and Enforcement of Security
-> Interest Act, 2002 (SARFAESI Act) and the Security Interest (Enforcement) Rules, 2002.
0162

```

```

0163 1. **NPA CLASSIFICATION:** You availed financial assistance under Loan Account No.
->   **{req.loan_account_no}**. Due to persistent defaults, your account has been classified
->   as a **Non-Performing Asset (NPA)** in accordance with the directives and guidelines
->   issued by the Reserve Bank of India.
0164
0165 2. **DETAILS OF OUTSTANDING DUES:** As on the date of this notice, the total outstanding
->   aggregate liability payable by you to the Secured Creditor is **{amt_formatted}**
->   (Rupees {amt_formatted} Only) along with contractual interest, penal interest, and
->   incidental costs.
0166
0167 3. **MANDATORY SIXTY (60) DAYS REQUISITION:** In exercise of powers conferred under
->   **Section 13(2)** of the SARFAESI Act, 2002, the Secured Creditor hereby calls upon you
->   to discharge in full the aforesaid aggregate liability of **{amt_formatted}** within
->   **SIXTY (60) DAYS** from the date of this notice.
0168
0169 4. **SECTION 13(13) STATUTORY RESTRAINT ON ASSET TRANSFER:** Take notice that under
->   **Section 13(13)** of the SARFAESI Act, you are strictly prohibited from transferring
->   by way of sale, lease, or otherwise any of the secured assets detailed in the Schedule
->   below without prior written consent of the Secured Creditor. Any violation shall
->   attract criminal penalties u/s 29.
0170
0171 5. **ENFORCEMENT MEASURES UNDER SECTION 13(4) & SECTION 14:** In the event of your failure
->   to discharge the said liabilities within 60 days, the Secured Creditor shall proceed to
->   exercise all or any of the rights under **Section 13(4)** and **Section 14**, including
->   taking physical possession of the secured immovable properties and sale through public
->   auction.
0172
0173 ---
0174
0175 ### SCHEDULE OF SECURED ASSETS (MORTGAGED PROPERTY)
0176 - **Description:** {req.property_description}
0177 - **CERSAI Registration ID:** Mandatory Registered Security Interest
0178 - **Title Deeds Deposited:** Original Registered Sale Deed / Memorandum of Deposit of Title
->   Deeds (MODTD)
0179 - **Statutory Exclusion Verified:** Non-Agricultural Immovable Asset (Section 31(i)
->   Compliant)
0180
0181 For **{req.bank_name}** (Secured Creditor)
0182
0183
0184 **Authorized Officer**
0185 *{req.officer_name}*
0186 {req.branch_name}
0187 ""
0188
0189     clauses = [
0190         "Strict 60-day cure period recited under Section 13(2)",
0191         "Section 13(13) statutory bar on alienation of secured assets",
0192         "CERSAI security registration reference under Section 26D",
0193         "Itemized Schedule of Secured Immovable Assets (Section 31(i) non-agri
->   verified)"
0194     ]
0195
0196     checklist = [
0197         "Affix notice on outer door if borrower avoids service and publish in two
->   newspapers (Rule 3)",
0198         "Ensure 15-day mandatory window is maintained to reply to any Section 13(3A)
->   borrower representation"
0199     ]
0200
0201     elif doc_type == "SECTION_65B_CERTIFICATE":
0202         title = "DRAFT STATUTORY AFFIDAVIT UNDER SECTION 65B INDIAN EVIDENCE ACT, 1872 /
->   SECTION 63 BHARATIYA SAKSHYA ADHINIYAM, 2023"
0203         citation = "Section 65B Indian Evidence Act, 1872 & Section 63 Bharatiya Sakshya
->   Adhinyam, 2023 read with Banker's Books Evidence Act, 1891"
0204
0205         md = f""{advocate_notice}# {title}
0206
0207         **[DRAFT AFFIDAVIT FOR VERIFICATION & PHYSICAL EXECUTION BY AUTHORIZED SYSTEM CUSTODIAN
->   BEFORE NOTARY / OATH COMMISSIONER]**
0208
0209         **{(FOR ADMISSIBILITY OF ELECTRONIC RECORDS & COMPUTERIZED STATEMENT OF ACCOUNTS)}**
0210
0211         **Date:** {now_str}
0212
0213 I, **{req.officer_name}**, {req.officer_designation}, **{req.bank_name}**,
->   {req.branch_name}, do hereby solemnly affirm and state on oath as follows:
0214

```

```

0211 1. I am working as {req.officer_designation} at {req.bank_name}, {req.branch_name} and am
-> the lawful custodian / authorized officer having management and operational knowledge
-> of the computer systems of the Bank.
0212
0213 2. In the regular course of banking business, **{req.bank_name}** maintains its books of
-> account and records electronically on its centralized Core Banking Solution (CBS)
-> server.
0214
0215 3. The computerized Statement of Account relating to Loan Account No. **{req.
-> loan_account_no}** in the name of **{req.borrower_name}** showing an outstanding debit
-> balance of **{amt_formatted}** has been produced directly from the said computer system
-> under my direct supervision.
0216
0217 4. **MANDATORY STATUTORY CERTIFICATION PURSUANT TO SECTION 65B(2) / SECTION 63(2):**
0218 - The electronic computer output was produced by the computer system during the period
-> over which the computer was used regularly to store or process information in the
-> ordinary course of banking activities.
0219 - Throughout the material period, the computer system was operating properly and there
-> were no operational breakdowns affecting the accuracy of the electronic records.
0220 - The information contained in the electronic record reproduces accurately the data fed
-> into the system in the ordinary course of business.
0221
0222 5. I certify that the attached printout of the Statement of Account is a true, authentic,
-> and accurate reproduction of the electronic record stored on the bank's secure server,
-> conforming to the statutory standards laid down by the Supreme Court in *Arjun
-> Panditrao Khotkar v. Kailash Kushanrao Gorantyal (2020) 7 SCC 1*.
0223
0224 **DEPONENT / CERTIFYING CUSTODIAN**
0225
0226 _____
0227 **{req.officer_name}**
0228 *{req.officer_designation}*
0229 {req.bank_name}, {req.branch_name}
0230 Employee Code: Verified Official
0231
0232 **VERIFICATION**
0233 Verified at on this {now_str} that the contents of the above affidavit are true and correct
-> to the best of my personal knowledge and belief derived from official banking records.
0234
0235 _____
0236 **DEPONENT**
0237 """
0238     clauses = [
0239         "Conforms strictly with Supreme Court 3-Judge Bench ruling in Arjun Panditrao
-> Khotkar (2020)",
0240         "Certified under Banker's Books Evidence Act 1891 & Section 63 BSA 2023",
0241         "CBS System integrity and uninterrupted operational custody sworn on oath"
0242     ]
0243     checklist = [
0244         "Attach system printout of Statement of Account bearing branch round stamp and
-> officer initial",
0245         "File alongside Section 138 complaint or DRT Original Application at initial
-> presentation"
0246     ]
0247
0248     elif doc_type == "S142_CONDONATION_PETITION":
0249         title = "APPLICATION FOR CONDONATION OF DELAY UNDER SECTION 142(1)(b) PROVISIO OF
-> NEGOTIABLE INSTRUMENTS ACT, 1881"
0250         citation = "Section 142(1)(b) Proviso NI Act, 1881 read with Section 5 of
-> Limitation Act, 1963"
0251
0252         md = f"""{advocate_notice}# IN THE COURT OF THE JUDICIAL MAGISTRATE FIRST CLASS /
-> METROPOLITAN MAGISTRATE
0253
0254 **CRIMINAL COMPLAINT NO. _____ OF 2026**
0255
0256 **IN THE MATTER OF:**
0257 **{req.bank_name}**, {req.branch_name}
0258 Through Authorized Representative: **{req.officer_name}**
0259 ... **COMPLAINANT / APPLICANT**
0260
0261 *VERSUS*
0262
0263 **{req.borrower_name}** & Ors.

```

```

0264 ... **ACCUSED / RESPONDENTS**
0265
0266 ---
0267
0268 ### APPLICATION UNDER PROVISIO TO SECTION 142(1)(b) OF THE NEGOTIABLE INSTRUMENTS ACT, 1881
-> FOR CONDONATION OF DELAY IN FILING COMPLAINT
0269
0270 The Complainant / Applicant most respectfully submits as under:
0271
0272 1. The Complainant Bank has instituted the accompanying Criminal Complaint under Section
-> 138 read with Section 141 of the Negotiable Instruments Act, 1881 against the Accused
-> for dishonour of Cheque No. **{req.cheque_no}** for an amount of **{amt_formatted}**.
0273
0274 2. **COMPLIANCE OF STATUTORY NOTICES:** The Complainant Bank duly dispatched the statutory
-> demand notice dated **{req.notice_date}** within 30 days of the dishonour memo. The
-> 15-day statutory cure period expired, whereupon the cause of action accrued.
0275
0276 3. **EXPLANATION OF DELAY ({req.delay_days or 15} DAYS):**
0277 - The complaint was required to be filed within 30 days thereafter. However, a delay of
-> approximately **{req.delay_days or 15} days** occurred due to bona fide and sufficient
-> cause, namely: **{req.delay_reason}**.
0278 - The delay was entirely unintentional, administrative, and occurred without any
-> negligence or laches on the part of the Complainant Bank.
0279
0280 4. **SATISFACTION OF PROVISIO TO SECTION 142(1)(b):** Under the statutory proviso to Section
-> 142(1)(b), the Hon'ble Court is empowered to take cognizance of a complaint after the
-> prescribed period if the Complainant satisfies the Court that it had sufficient cause
-> for not making the complaint within the period.
0281
0282 5. **PRAYER:** In view of the facts and circumstances stated herein and supported by the
-> accompanying Affidavit, the Complainant most respectfully prays that this Hon'ble Court
-> be pleased to:
0283 - (a) Condone the delay of {req.delay_days or 15} days in filing the accompanying
-> Criminal Complaint u/s 138;
0284 - (b) Take cognizance of the offence and issue process against the Accused persons.
0285
0286 **COMPLAINANT BANK**
0287 Through Counsel / Authorized Officer
0288 ""
0289     clauses = [
0290         "Invokes statutory proviso to Section 142(1)(b) as enacted by 2002 NI Amendment
-> Act",
0291         "Contains day-by-day sufficient cause justification sworn on solemn affidavit",
0292         "Cites binding Supreme Court precedent in Pawan Kumar Ralli v. Maninder Singh
-> (2014)"
0293     ]
0294     checklist = [
0295         "Affidavit of Authorized Officer duly notarized must accompany this petition",
0296         "Ensure application is filed simultaneously with the main Section 138 complaint
-> before magistrate takes cognizance"
0297     ]
0298
0299     else: # S143A_INTERIM_COMPENSATION
0300         title = "APPLICATION UNDER SECTION 143A OF THE NEGOTIABLE INSTRUMENTS ACT FOR
-> INTERIM COMPENSATION"
0301         citation = "Section 143A of Negotiable Instruments Act, 1881 (2018 Amendment)"
0302
0303         md = f""{advocate_notice}# IN THE COURT OF THE JUDICIAL MAGISTRATE FIRST CLASS /
-> METROPOLITAN MAGISTRATE
0304
0305 **CRIMINAL COMPLAINT NO. _____ OF 2026**
0306
0307 **IN THE MATTER OF:**
0308 **{req.bank_name}** ... **COMPLAINANT**
0309 *VERSUS*
0310 **{req.borrower_name}** ... **ACCUSED**
0311
0312 ---
0313
0314 ### APPLICATION UNDER SECTION 143A OF THE NEGOTIABLE INSTRUMENTS ACT, 1881 FOR DIRECTING
-> ACCUSED TO DEPOSIT 20% INTERIM COMPENSATION
0315
0316 The Complainant Bank most respectfully submits as under:
0317

```

```

0318 1. The present complaint is instituted under Section 138 for dishonour of Cheque amounting
-> to **{amt_formatted}**.
0319
0320 2. Under **Section 143A** of the Negotiable Instruments Act, 1881 (inserted vide Amendment
-> Act 20 of 2018), this Hon'ble Court has statutory power to direct the Accused to pay
-> interim compensation to the Complainant.
0321
0322 3. The interim compensation is statutory and shall not exceed **20% of the cheque amount**.
-> In the present case, 20% of the dishonoured cheque amount computes to
-> **{f"Rs.{req.default_amount*0.2:,.2f}"}**.
0323
0324 4. **PRAYER:** It is most respectfully prayed that this Hon'ble Court may be pleased to:
0325 - Direct the Accused to deposit **{f"Rs.{req.default_amount*0.2:,.2f}"}** (20% of
-> {amt_formatted}) as interim compensation within 60 days in terms of Section 143A(3).
0326
0327 **COMPLAINANT**
0328 ""
0329     clauses = [
0330         "20% statutory maximum computation under Section 143A(2)",
0331         "60-day deposit mandate under Section 143A(3)",
0332         "G.J. Raja v. Tejraj Sharma (2019) prospective application guidelines
-> compliance"
0333     ]
0334     checklist = [
0335         "Move application immediately upon framing of notice / plea recording of the
-> accused"
0336     ]
0337
0338     return StatutoryDraftResponse(
0339         success=True,
0340         document_type=doc_type,
0341         title=title,
0342         statutory_citation=citation,
0343         markdown_content=md,
0344         formatted_preview=md,
0345         mandatory_clauses_included=clauses,
0346         compliance_checklist=checklist
0347     )

```

```

=====
[SOURCE FILE: frontend/draft_templates.js]

```

```

Module: Section 138 NI Act Engine | Path: frontend/draft_templates.js
=====

```

```

0001 function verifyDraftTimelineS138(d) {
0002     if (!d) return { auditReport: '', warnings: [] };
0003     const parse = (s) => s ? new Date(s) : null;
0004     const daysBetween = (d1, d2) => {
0005         if (!d1 || !d2 || isNaN(d1) || isNaN(d2)) return null;
0006         return Math.round((d2 - d1) / (1000 * 60 * 60 * 24));
0007     };
0008
0009     const chequeDt = parse(d.cheque_date);
0010     const presDt = parse(d.presentation_date || d.dishonour_date);
0011     const disDt = parse(d.dishonour_date);
0012     const noticeDt = parse(d.notice_date);
0013     const noticeRecDt = parse(d.notice_served_date || d.notice_received_date ||
-> d.notice_date);
0014     const filingDt = parse(d.filing_date);
0015
0016     const auditLines = [];
0017     const warnings = [];
0018
0019     if (chequeDt && presDt) {
0020         const gap = daysBetween(chequeDt, presDt);
0021         if (gap !== null && gap > 92) {
0022             const msg = `Cheque presented on day ${gap} (> 90 days statutory validity from
-> cheque date).`;
0023             warnings.push(msg);
0024             auditLines.push(`[[ALERT] TIMELINE BREACH - CHEQUE EXPIRED]: ${msg}`);
0025         } else if (gap !== null && gap >= 0) {
0026             auditLines.push(`[ CHEQUE VALIDITY]: Presented within ${gap} days of issue.`);
0027         }
0028     }
0029 }

```

```

0030     if (disDt && noticeDt) {
0031         const gap = daysBetween(disDt, noticeDt);
0032         if (gap !== null && gap > 30) {
0033             const msg = `Statutory Demand Notice dispatched on day ${gap} (> 30-day
-> statutory limit from dishonour date). Notice is time-barred!`;
0034             warnings.push(msg);
0035             auditLines.push(`[[ALERT] TIMELINE BREACH - NOTICE DELAYED]: ${msg}`);
0036         } else if (gap !== null && gap >= 0) {
0037             auditLines.push(`[ NOTICE DISPATCH]: Notice dispatched on day ${gap} (within
-> 30-day statutory window).`);
0038         }
0039     }
0040
0041     if (noticeRecDt && filingDt) {
0042         const gap = daysBetween(noticeRecDt, filingDt);
0043         if (gap !== null) {
0044             if (gap < 15) {
0045                 const msg = `Complaint filed on day ${gap} post-notice (< 15 days).
-> Premature filing before cause of action accrued u/s 138(c).`;
0046                 warnings.push(msg);
0047                 auditLines.push(`[[ALERT] TIMELINE WARNING - PREMATURE FILING]: ${msg}`);
0048             } else if (gap > 45) {
0049                 const delay = gap - 45;
0050                 const msg = `Complaint filed on day ${gap} post-notice (${delay} days past
-> 30-day window). Requires Condonation of Delay u/s 142(1)(b) NI Act.`;
0051                 warnings.push(msg);
0052                 auditLines.push(`[[WARN] TIMELINE ALERT - CONDONATION REQUIRED]: ${msg}`);
0053             } else if (gap >= 15) {
0054                 auditLines.push(`[ COMPLAINT TIMELINE]: Filed on day ${gap} post-notice
-> service (within statutory filing window).`);
0055             }
0056         }
0057     }
0058
0059     let report = '';
0060     if (auditLines.length > 0) {
0061         report = `=====
-> \nSECTION 138 NI ACT STATUTORY TIMELINE AUDIT REPORT\n=====
-> =====\n` + auditLines.join('\n');
0062         if (warnings.length > 0) {
0063             report += `\n\nSUMMARY STATUTORY WARNINGS:\n` + warnings.map(w => ` *
-> ${w}`).join('\n');
0064         }
0065         report += `\n=====
-> \n\n`;
0066     }
0067
0068     return { auditReport: report, warnings };
0069 }
0070
0071 const DRAFT_TYPES = [
0072     {
0073         id: 'demand_notice', number: 1, title: 'Legal Demand Notice', subtitle:
-> 'Pre-Complaint',
0074         description: 'Sent within 30 days of cheque dishonour. Mandatory before filing.',
0075         icon: 'fa-envelope-open-text', color: '#0ea5e9',
0076         fields: [
0077             { name: 'complainant_name', label: 'Complainant Full Name', type: 'text',
-> required: true, placeholder: 'e.g., Ramesh Kumar Sharma' },
0078             { name: 'complainant_address', label: 'Complainant Address', type: 'textarea',
-> required: true, placeholder: 'Full postal address...' },
0079             { name: 'accused_name', label: 'Accused Full Name', type: 'text', required:
-> true, placeholder: 'e.g., Suresh Mohan Gupta' },
0080             { name: 'accused_address', label: 'Accused Address', type: 'textarea',
-> required: true, placeholder: 'Full postal address...' },
0081             { name: 'cheque_number', label: 'Cheque Number', type: 'text', required: true,
-> placeholder: 'e.g., 012345' },
0082             { name: 'cheque_date', label: 'Cheque Date', type: 'date', required: true },
0083             { name: 'cheque_amount', label: 'Cheque Amount (Rs.)', type: 'number',
-> required: true, placeholder: 'e.g., 250000' },
0084             { name: 'bank_name', label: 'Bank Name', type: 'text', required: true,
-> placeholder: 'e.g., State Bank of India' },
0085             { name: 'branch_name', label: 'Branch Name', type: 'text', required: false,
-> placeholder: 'e.g., Andheri West Branch' },

```

```

0086         { name: 'dishonour_date', label: 'Dishonour Date', type: 'date', required: true
->     },
0087         { name: 'dishonour_reason', label: 'Reason for Dishonour', type: 'text',
->     required: true, placeholder: 'e.g., Insufficient Funds' },
0088         { name: 'transaction_purpose', label: 'Purpose of Transaction / Underlying
->     Debt', type: 'textarea', required: true, placeholder: 'Describe the loan/transaction
->     for which the cheque was issued...' },
0089         { name: 'notice_date', label: 'Date of This Notice', type: 'date', required:
->     true },
0090         { name: 'demand_days', label: 'Payment Demand Period', type: 'select',
->     required: true, options: ['15 days', '30 days'] }
0091     ],
0092     generate: function (d) {
0093         const timelineCheck = verifyDraftTimelines138(d);
0094         const body = `LEGAL NOTICE UNDER SECTION 138 OF THE NEGOTIABLE INSTRUMENTS ACT,
->     1881
0095
0096     Date: ${formatDraftDate(d.notice_date)}
0097
0098     To,
0099     ${d.accused_name}
0100     ${d.accused_address}
0101
0102     Subject: Legal Notice under Section 138 of the Negotiable Instruments Act, 1881 for
->     dishonour of Cheque No. ${d.cheque_number} dated ${formatDraftDate(d.cheque_date)} for
->     Rs.${Number(d.cheque_amount).toLocaleString('en-IN')}/-
0103
0104     Sir/Madam,
0105
0106     Under the instructions and authority of my client, ${d.complainant_name}, residing at
->     ${d.complainant_address} (hereinafter referred to as the "Complainant"), I hereby issue
->     you this Legal Notice as under:
0107
0108     1. That my client and you had a business/financial relationship, wherein my client advanced
->     a sum of Rs.${Number(d.cheque_amount).toLocaleString('en-IN')}/- (Rupees
->     ${numberToWords(d.cheque_amount)} Only) to you towards ${d.transaction_purpose}.
0109
0110     2. That in discharge of your legally enforceable liability, you issued Cheque No.
->     ${d.cheque_number} dated ${formatDraftDate(d.cheque_date)}, for a sum of
->     Rs.${Number(d.cheque_amount).toLocaleString('en-IN')}/- (Rupees ${numberToWords(
->     d.cheque_amount)} Only), drawn on ${d.bank_name}${d.branch_name ? ', ' + d.branch_name
->     : ''}.
0111
0112     3. That the said cheque, when presented for encashment, was returned/dishonoured on
->     ${formatDraftDate(d.dishonour_date)} with the bank's memo stating the reason:
->     "${d.dishonour_reason}".
0113
0114     4. That the dishonour of the said cheque amounts to an offence under Section 138 of the
->     Negotiable Instruments Act, 1881, as amended from time to time.
0115
0116     5. That you are, therefore, called upon to make payment of Rs.${Number(d.cheque_amount).
->     toLocaleString('en-IN')}/- (Rupees ${numberToWords(d.cheque_amount)} Only) to my client
->     within ${d.demand_days} from the receipt of this notice, failing which my client shall
->     be constrained to initiate criminal as well as civil proceedings against you, at your
->     cost and risk, including prosecution under Section 138 of the Negotiable Instruments
->     Act, 1881, without any further notice.
0117
0118     6. That this Notice is being sent to you by Registered Post A.D. / Speed Post, in
->     compliance with the statutory requirements of Section 138 of the NI Act.
0119
0120     Please treat this as a final opportunity to settle the matter amicably.
0121
0122     Yours faithfully,
0123
0124     ${d.complainant_name}
0125     (Complainant / Through Advocate)
0126
0127     Copy to: Complainant (for records)
0128
0129     Note: Date of receipt of this notice shall be the date of service for the purpose of
->     computing the limitation period under Section 138 NI Act.`;
0130         return timelineCheck.auditReport ? timelineCheck.auditReport + body : body;
0131     }
0132 },

```

```

0133 {
0134   id: 'CERTIFICATE_BSA', number: 13, title: 'S.63(4) BSA Certificate', subtitle:
->   'Digital Evidence Admissibility',
0135   description: 'Mandatory certificate required under Bharatiya Sakshya Adhiniyam to
->   admit electronic records (WhatsApp, Email) in court.',
0136   icon: 'fa-file-signature', color: '#10b981',
0137   fields: [
0138     { name: 'complainant_name', label: 'Complainant Full Name', type: 'text',
->     required: true, placeholder: 'e.g., Ramesh Kumar Sharma' },
0139     { name: 'device_type', label: 'Device Used', type: 'text', required: true,
->     placeholder: 'e.g., Samsung Galaxy S23 / Dell Inspiron Laptop' },
0140     { name: 'court_location', label: 'Court Location', type: 'text', required:
->     true, placeholder: 'e.g., New Delhi' },
0141     { name: 'accused_name', label: 'Accused Name', type: 'text', required: true,
->     placeholder: 'e.g., Suresh Mohan Gupta' }
0142   ],
0143   generate: function(d) {
0144     return `IN THE COURT OF THE LEARNED JUDICIAL MAGISTRATE
0145 AT ${d.court_location || '_____'}
0146
0147 COMPLAINT NO.: ____ / ${new Date().getFullYear()}
0148
0149 IN THE MATTER OF:
0150 ${d.complainant_name || '_____'} ...
->   COMPLAINANT
0151 VERSUS
0152 ${d.accused_name || '_____'} ... ACCUSED
0153
0154 AFFIDAVIT / CERTIFICATE UNDER SECTION 63(4) OF THE BHARATIYA SAKSHYA ADHINIYAM (BSA) FOR
->   ADMISSIBILITY OF ELECTRONIC RECORDS
0155
0156 I, ${d.complainant_name || '_____'}, adult, do hereby solemnly affirm and state as under:
0157
0158 1. That I am the Complainant in the above-mentioned matter and I am fully conversant with
->   the facts and circumstances of the case. I am competent to swear this
->   affidavit/certificate.
0159
0160 2. That the electronic records (WhatsApp chats, Emails, Bank Statements) produced along
->   with the complaint have been extracted from my device, namely: ${d.device_type ||
->   '_____'}, which is owned, maintained, and operated exclusively by me in the ordinary
->   course of my everyday activities.
0161
0162 3. That during the period to which the electronic records relate, the said device was
->   functioning properly. At no point was the device subject to any operational failure or
->   malfunction that could have affected the accuracy, integrity, or contents of the
->   electronic records so generated and stored.
0163
0164 4. That I have personally taken the printouts / screenshots from the aforementioned device,
->   and no alteration, modification, or tampering has been done to the data.
0165
0166 5. That the contents of the printouts are a true and accurate reproduction of the
->   electronic records as stored in the device.
0167
0168 6. That this certificate is being furnished in strict compliance with the mandatory
->   provisions of Section 63(4) of the Bharatiya Sakshya Adhiniyam (BSA), to establish the
->   authenticity and admissibility of the digital evidence relied upon in the present
->   complaint.
0169
0170 DEPONENT
0171 ${d.complainant_name || '_____'}
0172
0173 VERIFICATION
0174 I, the above-named Deponent, do hereby verify that the contents of paragraphs 1 to 6 of
->   this Affidavit/Certificate are true and correct to the best of my knowledge and belief.
->   No part of it is false and nothing material has been concealed therefrom.
0175
0176 Verified at ${d.court_location || '_____'} on this ____ day of _____, ${new
->   Date().getFullYear()}.
0177
0178 DEPONENT`;
0179   }
0180 },
0181 {
0182   id: 'reply_notice', number: 2, title: 'Reply to Legal Notice', subtitle: 'Accused

```